

discharged from estate related funds.” (See Opposition, pp. 1:27-2:2.)<sup>4</sup> She maintains that the court did not adjudicate these issues in the statement of decision and judgment in docket 17CV308535 and, therefore, those issues remain ripe for adjudication via the Petition filed in the instant case. She further maintains that the Petition does not seek to recharacterize the proceeds in the blocked account as 100% estate property. Instead, she contends, “[i]t proposes that the Trust’s net distributable share is below its 50% gross baseline, with the resulting difference properly distributed to the Estate. This is a standard form of co-ownership accounting. The 50/50 baseline reflects the gross ownership split. The net distributable amounts reflect that baseline after adjustments.” (Opposition, pp. 2:27-3:3.)

Ultimately, the court agrees with Objector that the question of whether the claims Decedent’s estate may have against the Trust must be adjudicated separately from the Petition. As Objector asserts, a Probate Code section 850 petition may be available but the Probate Code also provides for creditor’s claims against an estate (Prob. Code, § 9000, et seq.) and creditor’s claims against a trust (Prob. Code, § 19000, et seq.) As Objector points out, Probate Code section 10553, subdivision (a) also provides, “The personal representative has the power to do all of the following: . . . [c]ommence and maintain actions and proceedings for the benefit of the estate.”

Petitioner contends that Probate Code section 11640 not only authorizes but requires the court to make the determinations regarding the estate’s claims against the Trust. That section provides:

- (a) When all debts have been paid or adequately provided for, or if the estate is insolvent, and the estate is in a condition to be closed, the personal representative shall file a petition for, and the court shall make, an order for final distribution of the estate.
- (b) The court shall hear and determine and resolve in the order all questions arising under Section 21135 (ademption by satisfaction) or Section 6409 (advancements).
- (c) If debts remain unpaid or not adequately provided for or if, for other reasons, the estate is not in a condition to be closed, the administration may continue for a reasonable time, subject to Chapter 1 (commencing with Section 12200) of Part 11 (time for closing estate).

(Prob. Code, § 11640.) But, Probate Code section 11640 contains no provision for determining disputed claims that the estate is owed funds from another entity, such as the Trust. (Compare with Prob. Code, § 850, subd. (a)(2)(D) [authorizing the personal representative to file a petition “[w]here the decedent died having a claim to real or personal property, title to or possession of which is held by another.”].)

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<sup>4</sup> These “offsets” include an \$80,000 reimbursement under Family Code section 2640 for separate property contributions Decedent is alleged to have made to the Eulalie Property, \$152,000 in rent Caroline allegedly owes because she lived alone in the Eulalie Property rent-free after forcing Decedent out of the property, \$48,694 for a reverse-mortgage Caroline allegedly took out on the Eulalie Property alone, and \$26,830.25 for a cost award Caroline owed following the June 18, 2018 judgment.

The purpose of a final distribution order is to determine the rights of beneficiaries and creditors to distributions from the estate. (*Estate of Kampen* (2011) 201 Cal.App.4th 971, 987 [“A final order of distribution operates in rem to settle the testate and intestate rights to distribution of all those who either did or could have participated as claimants. (See Prob. Code, § 11705, subd. (b).)”].) “The distribution order settles all claims involving all the assets in the estate[.]” (*Id.* at p. 987.) Here, half of the funds in the blocked account belong to the Trust and not the estate. Thus, they cannot be included in the petition for final distribution. Instead, to the extent the estate seeks return of funds belonging to the Trust, the right to the funds must be adjudicated pursuant to a noticed petition whereby discovery can be had and evidence regarding the disputed claims can be presented to the court.

The motion is GRANTED. As to leave to amend, Petitioner contends that she can amend to “(1) restructure the distribution table to clearly separate the gross baseline calculation from the offset accounting; (2) incorporate supporting allegations regarding the factual predicate for each offset, including the reverse-mortgage draws, the occupancy period, and the separate-property contribution history documented in the June 2018 Judgment, and (4) address any procedural mechanisms the Court requires for adjudicating each item.” (Opposition, p. 4:18-23.) Objector requests that, should the court be inclined to grant leave to amend, the court should order “any amended petition must be limited to the Estate-owned one-half, and any claims against the Trust’s one-half must be brought in a separate, procedurally proper proceeding.” (Reply, p. 2:18-21.) The court finds that including the Trust’s half of the funds in the blocked account in the petition for final distribution was improper. Accordingly, the court will grant leave to amend as follows: Petitioner may amend the petition for final distribution to remove the Trust’s half of the funds in the blocked account as an asset and to remove all claims the estate may have to those funds. Petitioner may also file any appropriate petition to seek reimbursement of funds from the Trust.

## **CONCLUSION**

The motion is GRANTED WITH LEAVE TO AMEND as discussed above.